

TOWN OF SYKESVILLE

Fiscal Year 2025 - 2026

DRAFT Annual Budget



May 12, 2025

Town of Sykesville, Maryland

FISCAL YEAR 2026

(July 1, 2025 – June 30, 2026)

ANNUAL (DRAFT) BUDGET

Sykesville Mayor and Council

Stacy Link

Mayor

Anna Carter

Council President

Mark Dyer

Councilmember

Alan Grasley

Councilmember

Elizabeth Guroff

Councilmember

Leo Keenan

Councilmember

Jeremiah Schofield

Councilmember

Town Staff

Joe Cosentini

Town Manager

Jennifer Livesay

Treasurer

Kerry Kavaloski

Town Clerk

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MISSION STATEMENT

The Town of Sykesville shall provide services and manage public funds efficiently to improve the quality of life for our residents, businesses, and visitors.

VISION STATEMENT

*With excellence as our standard,
we strive to make Sykesville a destination of choice.*

TOWN COUNCIL GOALS

Economic Development (Growth and Land Use)

Sykesville will support the continued investment in and preservation of its historic Main Street and promote the successful mixed-use redevelopment of Warfield

Accessibility and Connectivity

Sykesville will be accessible for all citizens by improving its trail and sidewalk network connecting neighborhoods and parks with Main Street while also supporting the investment of 5G and broadband initiatives in Town

Quality of Life (Image and Identity)

Sykesville will protect and enhance the visual qualities of the Town's streetscapes and public spaces and continue to support policies and programs that preserve and promote the unique heritage and qualities of Sykesville

Environmental Stewardship

Sykesville will promote the conservation of its natural environment and invest in stormwater management improvements to protect the South Branch Patapsco River and its watersheds

Fiscal Integrity

Sykesville will manage public funds to maintain operations while keeping reserves available for strategic investment

TOWN VALUES

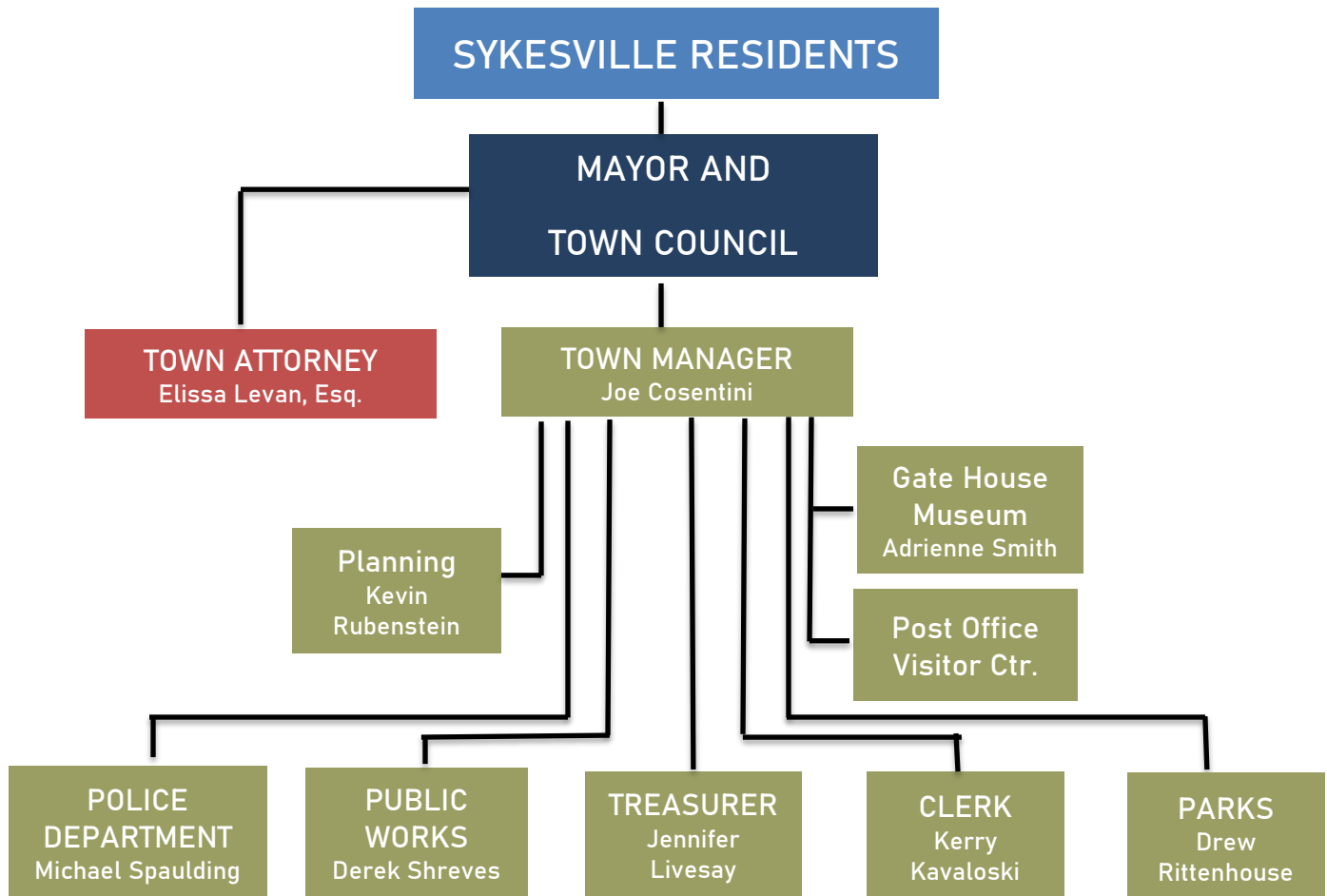
Belonging: Sykesville is a welcoming community that wants all of its members to feel valued. We will strive to make everyone feel connected to Sykesville. We encourage individual contributions and expressions of differing points-of-view as a way to unify and elevate the experience people have when they are here.

Accountability: we believe in taking responsibility for our decisions in service to this community. Being accountable builds trust among our elected officials, staff members, volunteers, and citizens. We will perform our duties with integrity and transparency and with a focus towards personal and professional growth intent on adding value to Sykesville.

Resourceful: we will approach all opportunities with an open mind and an understanding that solutions may need to come from resources not yet tapped. We will be diligent and creative in looking for ways to improve our Town.

Ownership: we are all dedicated owners of our Town and strive to empower community members to take the initiative in creating a better environment to live, work and play. Our impassioned service is centered around taking action and building an environment of our own choosing.

ORGANIZATIONAL STRUCTURE



TOWN MANAGER'S BUDGET MESSAGE

April 24, 2025

Honorable Mayor Link and
Members of the Town Council
Town of Sykesville, Maryland

Mayor Link and Town Council Members:

The annual budget for the Town of Sykesville for Fiscal Year 2026, beginning July 1, 2025 through June 30, 2026, is submitted for your review and consideration. This document represents the financial and management plan for the Town which includes the Capital Improvements Plan for FY2026-2030.

The Fiscal Year 2026 budget is balanced with expenditures totaling \$6,872,516. This represents an overall decrease of \$2,099,555 (approximately 23%) from the revised FY25 budget. This decrease can largely be attributed to the lower number of capital expenditures this budget cycle. All expenditures are discussed in greater detail later in this budget document. General operating expenses were relatively flat with increases focused on employee salaries and benefits.

The economic outlook for Sykesville remains steady throughout FY2025 despite the uncertainty on a Federal and State level. Residential growth in the community at large was limited with only one subdivision (Enclave at Parkside) on the horizon. Available commercial properties in Town remain mostly occupied with only limited availability seen on Main Street and in the surrounding areas indicating that Sykesville remains a desirable location for small business. The Town has been and continues to be somewhat conservative with our revenue projections in the upcoming fiscal year which should leave us some flexibility as the budget year progresses. It should be noted that the proposed budget does include a higher Income Tax collection (\$1,244,593) than we've typically budgeted for, but this number is still lower than actual collections from FY24 (\$1,292,496) and is in line with our three-year running average. In other words, the projection can accommodate a slight downturn in collections should federal level job cuts impact our community.

The proposed property tax rate is steady at \$0.32 per \$100.00 of assessed value. The rate was reduced by \$0.01 in FY25. This is still slightly higher than the Constant Yield Tax Rate (CYTR) calculated by the State Department of Assessments and Taxation at \$0.2996. The CYTR is sent by the State to each taxing authority in Maryland and represents the property tax rate for the coming tax year that will generate the same amount of revenue that was generated during the current tax year.

We are proposing the use of \$100,000 of our Capital Fund Balance. This funding will be put towards a stormwater infrastructure project on Norwood Avenue. As a reminder, the Capital Fund was established specifically for planned capital projects such as this in order

to ensure funding was available. The full capital program in FY26 will also include several grant funded projects totaling over \$800,000 as well as \$1,200,000 in State and Local Fiscal Recovery Funds (SLFRF). The SLFRF funding will need to be completely spent by December, 2026 and we are on pace to make this deadline. All projects are outlined in more detail in the Town's Capital Improvements Plan that is included as an appendix to this document. A summary of these projects are listed here:

- General Government - \$450,000
 - \$450,000 will complete the engineering effort for the Sandosky Lot and Town House Lawn projects and beginning the initial phase of construction
- Public Safety - \$70,000
 - \$70,000 for the purchase of one new police cruiser.
- Public Works - \$100,000
 - \$100,000 for the construction of stormwater improvements along Norwood Avenue
- Streets and Sidewalks - \$1,527,064
 - \$327,064 will be received in Highway User Revenues and will be allocated to our annual road resurfacing and sidewalk projects
 - \$1,200,000 to complete construction on the Oklahoma Avenue/Main Street Improvements
- Recreation and Parks - \$350,000
 - \$150,000 Program Open Space funding for Cooper Park improvements
 - \$200,000 from the State Capital Grant to continue planning for the reuse of the B.F. Shriver Cannery building at South Branch Park

During FY2026 we will continue the implementation of the Sykesville Comprehensive Plan (Vision 2030). The Comprehensive Plan provides long range planning tools necessary to ensure that future expenditures are being made that support our agreed upon vision and provide better guidance for strategic investment decisions for the future of Sykesville. The investment for FY26 is shown through the expenditures for capital project specifically called for in the Plan. The most notable of these projects being the Baldwin Drive/Oklahoma Avenue/Main Street improvements and investments toward the reuse/redevelopment of the 714 Sandosky Lot. The proposed budget has ARPA (SLFRF) funds being used for the former while the Strategic Demolition Grant that was reallocated to the Town in FY21 will be used for the latter.

The Town of Sykesville continues to be a desirable location for residents and visitors alike. Our financial reserves remain at strong levels with our Stabilization Reserve fully funded at \$1,000,000, a \$250,000 Repaving Reserve, and zero long-term debt. The Town also holds several restricted accounts that can be used for specific purposes such as impact fees (\$225,026), Gate House Museum (\$76,716), Parking reserve (\$29,026), and the Warfield Public Project Escrow (\$184,385). \$70,000 from the impact fees fund is being proposed to offset the police vehicle expenditure in FY26.

Town leadership remains committed to keeping operational and capital costs at reasonable levels while working to provide quality services to our residents. Because of

these past decisions, the Town is well positioned to pursue the goals and objectives necessary to keep Sykesville a “cool” small town with the “best” main street. I hope the information presented in this document can serve as a guide as we navigate the coming fiscal year.

I would like to thank to our Town Staff for the time and effort they put into the budget process this year and for being so committed to the success of Sykesville. In addition, I would like to express my gratitude for the support and confidence of the Mayor and Town Council. Through your leadership, we will continue to make Sykesville a great place to live, work, and play.

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Joe Cosentini', with a stylized, flowing script.

Joe Cosentini
Town Manager

End of section

BUDGET INTRODUCTION

The budget is the Town's operational plan for the fiscal year. It establishes the funding necessary for meeting the current day to day operational needs of the Town and sets in place the direction to meet the long-term goals and strategies of the Mayor and Council through the funding of various capital investments. Each of the following sections will provide more information regarding the Fiscal Year 2026 budget and should be seen as a supplement to the budget detail provided later in this document.

OPERATING REVENUES

The projected operating revenues for FY2026 will be **\$4,025,452**, an increase of just over 6% from the amended FY2025 budget. Major operating revenue sources include the following:

Property Tax – property tax is the primary local government revenue in Maryland. In Sykesville, our property tax rate is \$0.32 per \$100.00 of assessed value. Assessments are done on a three-year cycle with increases being phased in over a three-year period. The net assessable real property base for Sykesville in FY26 is \$624,481,697. This multiplied by our property tax rate equals the estimated revenue in the proposed budget of \$1,998,341.

Income Tax – this is the second highest operating revenue category for the Town. Tax base and growth projects of this category are difficult to project given the variables involved (employment data, individual reported earnings, general Town demographics, etc.). Guidance on estimating potential revenue for this category is largely based on averaging past FY collections. Over the past three completed fiscal years (FY2022-2024) the Town averaged a collection \$1,218,000.

Income tax projections for FY2026 were estimated just above our three-year running average at \$1,244,593. This projection is roughly 3% higher than the FY2025 budget.

State Aid Police Protection/Town-County Agreement – this revenue is derived from duplicated services provided by the State, County, and Town. The Town is compensated for the services we provide that allows other agencies to focus on areas where they are the primary provider. These categories were slightly increased from their FY2025 levels for a combined projected income of \$351,918.

Other – the remaining operating revenues expected for FY2025 total \$430,600. The largest single line-item being interest earned off of the Town's investment accounts. Details for each category are included in Appendix A in this document.

CAPITAL REVENUES

Capital revenues are those that are restricted for uses of a capital nature. Total Capital Revenues for FY2026 equal **\$1,457,064**. Generally, a capital item is one that meets any one or more of the following criteria:

1. A project with a tangible result that has a life expectancy of more than one year
2. In general, any nonrecurring (less frequently than five years) purchase that costs more than \$10,000. Technology capital projects are those less frequent than three years at no less than \$3,000. This applies to both new and replacement equipment
3. A project, that will increase the value of land or buildings substantially
4. Any item determined by Council to be funded by capital revenue

Major capital revenues sources include the follows:

Highway User Revenues – this funding source is the local share of the State tax gas and vehicle titling. The State submits estimates to the municipalities for budgeting purposes. For FY2025 Sykesville is scheduled to receive \$327,064.

Grants – these revenues are anticipated reimbursements from grant related expenses. The Town has several in the upcoming fiscal year including the following projects and grant programs:

- Strategic Demolition and Community Legacy Grants (714 Sandosky and Town House Lawn Projects) – we will continue the engineering effort and start of construction on the site with an anticipated reimbursement of \$450,000 from the grants awarded.
- Program Open Space (\$150,000) – the Town will be utilizing our latest POS grant to make improvements at Cooper Park including rehabilitating the parking area previously utilized by the Girls Shelter.
- State Capital Grant – The Town will continue our planning efforts on the rehabilitation and reuse of the B.F. Shriver Cannery building at South Branch Park. We anticipate spending \$200,000 in FY26.
- Safe Streets 4 All (\$160,000) – The Town received a Federal grant to study the safety of our roadway system and intersections with the intent on conceptualizing pedestrian improvements to ensure a safe multi-modal transportation network. This is a carryover project from FY25

In total we are anticipating \$960,000 in this revenue category to offset capital related expenses.

Assigned Fund Balance: Capital Reserve – this line item is the Town’s capital fund. These funds are allocated as the Town identifies capital projects and schedules them through the Capital Improvements Plan. In FY2026 we anticipate using \$100,000 to fund a stormwater project on Norwood Avenue.

Impact Fees – The Town collects impact fees to help offset capital expenditures attributable to growth. In FY26 the budget includes the use of \$70,000 for the purchase of a new police cruiser.

ARPA – State and Local Fiscal Recovery Funds (SLFRF)

The ARPA category was introduced in FY23 to implement the State and Local Fiscal Recovery Funds (SLFRF) into our annual budget. The Town received a total of \$3,115,422. This funding must be allocated by the end of calendar year 2024 and actually spent by the end of 2026.

Allocation of this funding has been preliminary set by evaluating projects/priorities through the Town’s strategic planning process and the established Capital Improvements Plan. With that in mind, the schedule for ARPA expenditures will be \$1,200,000 in FY26. The Town has already expensed over \$1,900,000 in FY23-25.

The \$1,200,000 allocated for FY26 has been designated for the following expenditures:

- Oklahoma Avenue/Main Street Improvements – \$1,200,000

Revenue Offsets – Unassigned Fund

The unassigned fund is only used in certain circumstances when there is an unexpected expense that exceeds anticipated revenues or when there are known non-capital related expenses that are unique to a singular fiscal year. The proposed FY26 budget shows a use of \$190,000 from the unassigned fund to offset specific expenses related to legal fees, transportation planning, and the completion of the Town’s zoning rewrite.

OPERATING EXPENSES

The Town's operating expenses are balanced with the Town's operating revenues. It should be noted that according to the U.S. Bureau of Labor Statistics, the nationwide Consumer Price Index of All Urban Consumers (CPI-U) increased by 2.4% for the 12-month period ending in March 2025. This was the basis for including salary adjustments in all departments.

Mayor and Town Council - \$143,550

This category covers expenses included salaries for the Mayor/Council, Town newsletter, Maryland Municipal League items, contributions to the Community Media Center, and the annual donation to the Freedom District Fire Department which was increased from \$10,000 to \$20,000.

Town Commissions - \$2,000

Designated for costs related to the operation of the Planning Commission and Historic District Commission. Typically, these funds are used for training purposes.

Professional Service - \$490,000

Auditor fees, legal fees, and engineering all are paid from this category. The Town's general liability insurance is also included here. The two largest line items in this category are for Legal Counsel (\$200,000) which are at this level due to the ongoing Warfield litigations and the Professional Services category also at \$200,000 so we can complete the zoning ordinance rewrite and begin the transportation planning process. (Note: \$160,000 of these expenses are offset from grant revenues).

Administration - \$578,939

The administration category covers salaries for six town employees (Town Manager, Town Clerk, Parks and Recreation Coordinator, Planner, Administrative Assistant, and the Treasurer). This is also the area that covers the costs of all Town House utility expenses. Personnel in this category carry out all the administrative functions of the Town and all public meeting functions related to Town Council, Planning Commission, Historic District Commission, Parks and Recreation, Board of Zoning Appeals, and Ethics Commission.

Public Safety - \$1,015,469

This is the Sykesville Police Department and Auxiliary Unit. In total, this includes funding for ten sworn police officers, one Chief of Police and one administrative assistant, all utilities, vehicle and building maintenance, and training are also included.

Public Works and Sanitation - \$694,549

Six and one-half public works employees plus the Director. This Department handles all refuse and recycling pickup along with mowing services, stormwater maintenance, and a variety of other activities. The expense category also includes the cost of tipping

fees paid to the County and the rebate provided to the Parkside Subdivision for private garbage pickup. We have retained one part-time employee who will continue to be charged with maintaining the Town's Splash Pad at Millard Cooper Park between Memorial Day and Labor Day.

Streets & Roads - \$98,500

This category is mostly the utility expense related to street lighting and all costs (including staff overtime) for snow removal operations.

Parks Maintenance - \$137,831

All open space, park maintenance, and splash pad related costs are included here. This covers tree care/maintenance, landscaping, the Little Sykes facility, etc. This category also includes the National Pollutant Discharge Elimination System (NPDES) permit fee we pay to the County which is shown in the Sediment Pond Maintenance/Stormwater line.

Main Street/Downtown - \$250

This category typically includes the annual \$50,000 allocation to the Downtown Sykesville Connection. However, the Town has agreed to provide the DSC with an advance on these funds for a 10-year period which eliminates this item from the Town's operating budget.

The remaining funds are to cover the purchase of memorial bricks at the Town's veteran's memorial in front of the Town House.

Visitor Center & Post Office - \$126,692

This includes three part-time employees who run all operations. The largest expense is for the postage/materials that we pre-pay for and are then reimbursed.

Historic Buildings - \$18,750

Utilities and maintenance for the Historic Black Schoolhouse and building maintenance for Sykesville Station. This category includes an addition of real estate taxes related to the Station building that was agreed to as part of the new lease. We did not continue the utilities expense for the Station as we anticipate the tenant taking these over during the fiscal year.

Gate House Museum - \$104,210

A full-time curator, an asst. part-time curator, utilities, and operation costs to run the museum are included here. We are not planning for any significant building repairs at this time.

Parks & Recreation - \$7,000

These costs include all the park related events the Sykesville Parks and Recreation Committee (SPARC) conduct each year including Sykesville Cinema series and the Music in the Park Event.

Employee Benefits - \$957,712

Just over 50% of this expense is the Town's portion of the health insurance costs which increased 3.5% from FY2025. Other expenses include the employee retirement programs, short-term disability, workers' comp, and social security/Medicare.

CAPITAL EXPENSES

Capital Outlay - \$1,297,064

These are all expenses related to non-operating revenues such as grants, assigned fund balances, unrestricted fund balance, or restricted revenues (Impact Fees, Highway User Revenues).

- Public Safety:
 - New vehicle \$70,000
- Public Works and Sanitation
 - Norwood Avenue Stormwater \$100,000
- General Government
 - 714 Sandosky Lot (engineering) \$200,000
 - Town House Lawn (eng. & const.) \$250,000
- Streets & Roads
 - Re-paving/Roads \$307,064
 - Sidewalks \$ 20,000
- Parks
 - Cooper Park Improvements \$150,000
 - B.F. Shriver Cannery Planning \$200,000

ARPA (State and Local Fiscal Recovery Funds SLFRF) - \$1,200,000

The ARPA category incorporates the State and Local Fiscal Recovery Funds (SLFRF) into our annual budget. Funding proposed for FY26 is as follows:

- Capital Projects
 - Oklahoma Avenue/Main Street \$1,200,000

COMBINED BUDGET SUMMARY

Revenues:

Property Taxes	2,043,341
Licenses & Permits	84,000
Intergovernmental	1,928,575
Service Fees	43,700
Local / Program Revenues	95,650
Other Sources	<u>2,677,250</u>

Total Revenues **\$6,872,516**

Expenditures:

Mayor & Town Council	143,550
Town Commissions	2,000
Professional Services	490,000
Administration	578,939
Public Safety	1,015,469
Public Works	694,549
Streets & Roads	98,500
Parks Maintenance	137,831
Military Memorial Bricks	250
Post Office & Visitor Center	126,692
Historic Buildings	18,750
Gate House Museum	104,210
Parks & Recreation	7,000
Employee Benefits	957,712
Capital Outlays	1,297,064
ARPA	<u>1,200,000</u>

Total Expenditures **\$6,872,516**

Appendix A

Town of Sykesville

Fiscal Year 2025

Operating

And

Capital Budget

Ordinance 2025-03

Appendix B

Town of Sykesville

Capital Improvements Plan

FY2026-2030